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LOS ANGELES SUPERIOR COURT –
SOUTHWEST DISTRICT

Honorable Amy N. Carter Thursday,
August 6, 2026

Department M Calendar No.

PROCEEDINGS

Derrick Ervin v. American Guard
Services, Inc., et al.

25TRCV04220

1. American Guard Services, Inc.'s Motion to Compel
Arbitration of Plaintiff's Individual Claims and to Stay Proceedings

TENTATIVE RULING

American Guard Services, Inc.'s
Motion to Compel Arbitration of Plaintiff's Individual Claims and to Stay Proceedings
is granted.

Background

Plaintiff filed the Complaint on December
12, 2025. Plaintiff alleges the following facts. Plaintiff was a former employee

of Defendant. Defendant failed to provide proper break and rest periods. Defendant failed to compensate Plaintiff at the required rate for all the hours worked. Defendant failed to provide accurate payroll records. Plaintiff alleges the following cause of action: 1. Violation of California Labor Code § 2698, et seq.

Motion to Compel Arbitration

“California law reflects a strong public policy in favor of arbitration as a relatively quick and inexpensive method for resolving disputes. [Citation.] To further that policy, [Code of Civil Procedure] section 1281.2 requires a trial court to enforce a written arbitration agreement unless one of three limited exceptions applies. [Citation.] Those statutory exceptions arise where (1) a party waives the right to arbitration; (2) grounds exist for revoking the arbitration agreement; and (3) pending litigation with a third party creates the possibility of conflicting rulings on common factual or legal issues. (§ 1281.2, subds. (a)–(c).)” *Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal.App.4th 959, 967.

“The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” *Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1284.

“The party opposing arbitration has the burden of demonstrating that an arbitration clause cannot be interpreted to require arbitration of the dispute. Nonetheless, this policy does not override ordinary principles of contract interpretation. [T]he contractual terms themselves must be carefully examined before the parties to the contract can be ordered to arbitration: Although [t]he law favors contracts for arbitration of disputes between parties, there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate.” *Rice v. Downs* (2016) 247 Cal.App.4th 1213, 1223 (internal citations and quotations omitted).

In *Rowe v. Exline* (2007) 153

Cal.App.4th 1276, 1286, the Court of Appeal found that “a nonsignatory sued as an agent of a signatory may enforce an arbitration agreement.” *Id.*

at 1286. In addition, “a nonsignatory

who is the agent of a signatory can even be compelled to arbitrate claims against his will.” *Id.* at 1285, citing *Harris v. Superior Court* (1986) 188

Cal.App.3d 475, 477–78. Further, “in

many cases, nonparties to arbitration agreements are allowed to enforce those agreements where there is sufficient identity of parties.” *Valley*

Casework, Inc. v. Comfort Construction, Inc. (1999) 76 Cal.App.4th 1013,

1021. This includes nonparties as agents

of a party as well as “a third party beneficiary of an arbitration agreement.” *Ibid.*

Defendant moves for an order compelling arbitration of Plaintiff’s “individual claims against Defendant, and staying prosecution of Plaintiff’s representative California Labor Code Private Attorney General Act of 2004 claim pending conclusion of arbitration proceedings. Defendant’s Motion is made on the grounds that the Parties entered into valid and enforceable written arbitration agreement which governs resolution of the claims Plaintiff asserts against Defendant.” (Notice of Motion, p. 2, lines 4-9).

The motion is made pursuant to Code of Civil Procedure § 1281 et seq. and the FAA, on the grounds that Plaintiff is bound by a written agreement to arbitrate the subject matter of the FAC. Defendant argues that a valid arbitration agreement exists between the parties that requires arbitration of the individual claims and that authority compels a stay of Plaintiff’s representative PAGA claims.

Code Civ. Proc., § 1281.2 states, in relevant part: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists[. . .]” “Generally, an arbitration agreement must be memorialized in writing. A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement. A signed agreement is not necessary, however, and a party’s acceptance may be implied in fact or be effectuated by delegated consent. An arbitration clause within a contract may be binding on a party even if the party never actually read the

clause.” Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 (internal citations omitted).

The burden of production of evidence

in the context of a motion to compel arbitration was cogently articulated by the following case. “First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature. Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. For this step, it is not necessary to follow the normal procedures of document authentication. If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. [¶] If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [¶] If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165–166 (internal citations and quotations omitted).

Defendant has met its initial burden of producing prima facie evidence of a written agreement to arbitrate. (Decl., Sam Wafaa, ¶¶ 3-8, Ex. 1). The arbitration agreement requires that the parties agree to submit any dispute arising out of Plaintiff's employment with Defendant. (Ex. 1 at ¶¶ 1-8). As noted above, at this stage, Defendant need only show prima facie evidence of the existence of the agreement which it has properly done.

Thus, the burden shifts to Plaintiff to produce evidence to challenge the authenticity of the agreement, by, for example, challenging that he ever signed the agreement. The Court notes that Plaintiff produced no competent evidence to challenge the authenticity of the agreement. Plaintiff freely acknowledges signing the agreement, but, instead alleges unconscionability. (Decl., Derrick

Ervin, ¶¶ 2-11). Thus, the burden does not shift to the third step where the moving party must establish with admissible evidence a valid arbitration agreement between the parties.

Because the moving party met its initial burden to show the existence of a valid arbitration clause with respect to the claims of the Plaintiff, the burden shifts to Plaintiff to show that the arbitration clause should not be enforced as to these claims. Rice, supra, 247 Cal.App.4th at 1223.

On June 15, 2022, the United States Supreme Court issued its opinion in Viking River Cruises, Inc. v. Moriana, 142 S.Ct. 1906 (2022). The Supreme Court held that employees who sign valid arbitration agreements are subject to arbitration of PAGA actions on an individual basis. Thus, Viking River Cruises overruled the lines of cases led by Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal.4th 348.

An argument could be made that Viking River Cruises only invalidated Iskanian “insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate.” Viking River Cruises, Inc. v. Moriana, 142 S.Ct. 1906, 1924 (2022). Thus, Viking River Cruises left open the question of whether a Plaintiff’s representative PAGA claim is subject to arbitration.

On July 17, 2023, the California Supreme Court issued its opinion in Adolph v. Uber Technologies, Inc. (2023) 14 Cal.5th 1104 resolving this question. In Adolph, the Supreme Court held that a plaintiff whose individual claims are compelled to arbitration retains standing to pursue representative PAGA claims in court. Id. at 1123-24. “Under the [PAGA] statute, a plaintiff who files a PAGA action with individual and non-individual claims does not lose standing to litigate the non-individual claims in court simply because the individual claims have been ordered to arbitration.” Adolph v. Uber Technologies, Inc. (2023) 14 Cal.5th 1104, 1128. The Supreme Court did not mandate a stay of the civil action but stated that the Court has discretion to enter a stay. “When an action includes arbitrable and nonarbitrable components, the resulting bifurcated proceedings are not severed from one another; rather, the court may ‘stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement.’ (9 U.S.C. § 3; see Code Civ. Proc., § 1281.4.) In McGill v Citibank,

N.A. (2017) 2 Cal.5th 945, 966 [216 Cal. Rptr. 3d 627, 393 P.3d 85], we explained that this principle extends to “piecemeal litigation of ‘arbitrable and inarbitrable remedies derived from the same statutory claim.’” Adolph v. Uber Technologies, Inc. (2023) 14 Cal.5th 1104, 1125.

The Court is aware of a decision in *Balderas v. Fresh Start Harvesting, Inc.* (2024) 101 Cal.App.5th 533. In *Balderas*, the Court of Appeal reversed the trial court’s decision to strike the plaintiff’s representative PAGA claim because she did not bring an individual claim. The case did not involve a motion to compel arbitration.

The *Balderas* Court stated as follows:

“The Adolph court concluded that the Viking River requirement of having to file an individual PAGA cause of action to achieve standing to file a representative PAGA suit was incorrect. There are only two requirements for PAGA standing. “The plaintiff must allege that he or she is (1) ‘someone “who was employed by the alleged violator”’ and (2) someone ‘against whom one or more of the alleged violations was committed.’ ” (Adolph, *supra*, 14 Cal.5th at p. 1120, 310 Cal.Rptr.3d 668, 532 P.3d 682.) [¶] *Balderas* met the standing requirements. She alleged that she 1) was an “aggrieved” employee of Fresh Start, and 2) was subject to one or more Fresh Start violations. She alleged, “[W]hen Employees including Ms. Balderas started work for Fresh Start at around 6:00 a.m. or 7:00 a.m., they regularly were not provided a meal period until after 5 hours of work for shifts longer than 5 hours.” This delay in providing timely meal periods for her and other employees violated their right to have “a meal period within the first five (5) hours of work.” [¶] Fresh Start claims more is required for standing than what *Balderas* alleged. But our Supreme Court rejected this claim in *Adolph*. The court declined “to impose additional requirements not found in the statute.” (Adolph, *supra*, 14 Cal.5th at p. 1120, 310 Cal.Rptr.3d 668, 532 P.3d 682.) “A narrower construction of PAGA standing would ‘thwart the Legislature’s clear intent to deputize employees to pursue sanctions on the state’s behalf.’ ” (Id. at p. 1122, 310 Cal.Rptr.3d 668, 532 P.3d 682; see also *Johnson v. Maxim Healthcare Services, Inc.* (2021) 66 Cal.App.5th 924, 281 Cal.Rptr.3d 478 [employee need not bring an individual claim against her employer to have standing to pursue a PAGA claim; it is sufficient to allege the employee suffered a Labor Code violation].) *Balderas v. Fresh Start Harvesting, Inc.*

(2024) 101 Cal.App.5th 533, 538–539.

However, there is an important factual distinction in *Balderas*. In *Balderas*, “Lizbeth Balderas appeal[ed] an order striking her complaint for civil penalties for violations of PAGA on behalf of herself and 500 other current and former employees of defendant Fresh Start Harvesting, Inc.” *Balderas v. Fresh Start Harvesting, Inc.* (2024) 101 Cal.App.5th 533, 536 (emphasis added). *Balderas* decided Plaintiff’s right to bring an action as a representative only and not as an individual. However, *Balderas* did not decide whether the Plaintiff is compelled to arbitrate a dispute with respect to his employment.

The instant arbitration agreement specifically provides that the parties agree that “any dispute, controversy, or claim between them will be submitted to binding arbitration and waive all right to trial in court before a judge or jury on all claims covered by this Agreement.” (Decl., *Wafaa*, Ex. 1, para. 1). Here, a dispute has arisen relating to Plaintiff’s employment.

“To have PAGA standing, a plaintiff must be an aggrieved employee — that is, (1) someone who was employed by the alleged violator and (2) against whom one or more of the alleged violations was committed. Where a plaintiff has brought a PAGA action comprising individual and non-individual claims, an order compelling arbitration of the individual claims does not strip the plaintiff of standing as an aggrieved employee to litigate claims on behalf of other employees under PAGA.” *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1114 (internal citations and quotations omitted). Thus, Plaintiff’s employment and the existence of violations are facts that must exist to establish standing as an aggrieved employee to litigate claims on behalf of other employees. This is certainly a dispute that arises out of Plaintiff’s employment.

The decision in *Adolph* relies upon the presentation of both individual and non-individual claims. *Adolph* specifically stated that the representative claim would not be subject to arbitration, but, only in that context. While *Adolph* involved both individual and representative claims, it does provide the following guidance:

“First, the trial court may exercise its discretion to stay the non-individual claims pending the outcome of the arbitration pursuant to section 1281.4 of the Code of Civil Procedure. Following the arbitrator’s decision, any party may petition the court to confirm or vacate the arbitration

award under section 1285 of the Code of Civil Procedure. If the arbitrator determines that Adolph is an aggrieved employee in the process of adjudicating his individual PAGA claim, that determination, if confirmed and reduced to a final judgment (Code Civ. Proc., § 1287.4), would be binding on the court, and Adolph would continue to have standing to litigate his nonindividual claims. If the arbitrator determines that Adolph is not an aggrieved employee and the court confirms that determination and reduces it to a final judgment, the court would give effect to that finding, and Adolph could no longer prosecute his non-individual claims due to lack of standing." *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1123–1124 (internal citations and quotations omitted). As noted above, a finding that the Plaintiff is an aggrieved employee is required to prosecute non-individual claims. This is a matter that is subject to arbitration pursuant to the plain language of the arbitration clause.

Recently providing more clarity, the Court of Appeal held that the unambiguous language in Labor Code § 2699(a) requires that any PAGA action necessarily includes both an individual PAGA claim and a representative PAGA claim. The Court found that a contrary interpretation would be against the statute's meaning and intent. This Court also commented on *Balderas* stating that any suggestion that an individual PAGA claim could be carved out of a representative PAGA claim was mere dicta. The Court held that although the Plaintiff craftily pled out individual PAGA claims and sought non-individual penalties only, the trial court was required to compel arbitration of the Plaintiff's individual PAGA claim and stay any non-individual PAGA claim. *Leeper v. Shipt, Inc.* (2024) 107 Cal. App. 5th 1001.

Plaintiff argues that the arbitration clause is both procedurally and substantively unconscionable. A court can invalidate an arbitration agreement when it is unconscionable or against public policy. See *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 99. Unconscionability contains two elements: procedural unconscionability and substantive unconscionability.

[U]nconscionability has both a procedural and a substantive' element, the former focusing on 'oppression' or 'surprise' due to unequal bargaining power, the latter on 'overly harsh' or 'one-sided' results. The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." But they need not be present in the same

degree. Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." See *Armendariz*, 24 Cal.4th at 114.

"The traditional standard of unconscionability . . . is that the inequality amounting to fraud must be so strong and manifest as to shock the conscience and confound the judgment of any man of common sense. Subsequent decisions have defined an unconscionable contract in varying but similar terms, such as a contract that no man in his senses and not under delusion would make on the one hand, and as no honest and fair man would accept on the other." See *California Grocers Assn. v. Bank of America* (1994) 22 Cal.App.4th 205, 214-15 (internal citations omitted).

Procedural unconscionability may be established by showing oppression and surprise. Oppression occurs where the parties have unequal bargaining power, and the contract is not the result of meaningful negotiations. Surprise recognizes the extent to which the agreed upon terms were hidden.

"In many cases of adhesion contracts, the weaker party lacks not only the opportunity to bargain but also any realistic opportunity to look elsewhere for a more favorable contract; he must either adhere to the standardized agreement or forego the needed service." *Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 711. Simply because a contract may have elements of an adhesion contract does not render the agreement procedurally unconscionable.

"The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." *Sanchez v. Valencia Holding* (2015) 61 Cal.4th 899, 912.

"[C]ourts, including ours, have used various nonexclusive formulations to capture the notion that unconscionability requires a substantial degree of unfairness beyond a simple old-fashioned bad bargain. This latter qualification is important. Commerce depends on the enforceability, in

most instances, of a duly executed written contract. A party cannot avoid a contractual obligation merely by complaining that the deal, in retrospect, was unfair or a bad bargain. Not all one-sided contract provisions are unconscionable; hence the various intensifiers in our formulations: ‘overly harsh,’ ‘unduly oppressive,’ ‘unreasonably favorable.’ The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement.” *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1245 (internal citations and quotations omitted; emphasis in original).

To support his procedural unconscionability argument, Plaintiff argues that he was presented lengthy documents, was pressured to quickly sign them, did not read the documents nor did he expect an arbitration agreement to be within the documents, was not aware of what arbitration was nor was he informed what it was, was not represented by an attorney, was not provided the rules of arbitration, nor was he provided an ability to opt out. (Decl., Derrick Ervin, ¶¶ 3-11).

However, Defendant has no obligation to highlight, explain, or discuss the terms of the arbitration agreement as any such requirement would be contrary to the FAA. *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal. 4th 899, 914-15. In fact, here, the arbitration agreement was presented as a separate stand-alone document. It was not buried in the fine print of a lengthy separate agreement. “[W]hatever procedural unfairness is inherent in an adhesion agreement in the employment context, it was limited in this case. The arbitration provision was not buried in a lengthy employment agreement. Rather, it was contained on the last page of a seven-page employment application, underneath the heading “Please Read Carefully, Initial Each Paragraph and Sign Below.” It was set forth in a separate, succinct (four-sentence) paragraph that [Plaintiff] initialed, affirming she had seen it.” *Roman v. Superior Court* (2009) 172 Cal.App.4th 1462, 1470–1471.

Plaintiff’s reference to *Fuentes v. Empire Nissan, Inc.* (2026) 19 Cal. 5th 93 is unavailing. The agreement in *Fuentes* was presented in tiny blurry font with hard to decipher legal jargon and obscure statutory references. By contrast the arbitration agreement presented here was clearly set forth in relatively plain language and distinct font. *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111 is also distinguishable. The agreement presented to Plaintiff in that action was also similarly set forth in tiny font consisting

of a single paragraph with extremely opaque language. In fact, the Court of Appeal termed the clause as “visually impenetrable.” *Id.* at 128. Here, the agreement was presented in a separate stand-alone document with appropriately large font and not presented in complete legalese.

In addition, simply because Plaintiff acknowledges that he did not read the agreement does not establish procedural unconscionability. It is well established, in the absence of fraud, overreaching or excusable neglect, that one who signs an instrument may not avoid the impact of its terms on the ground that he failed to read the instrument before signing it.” *Randas v. YMCA of Metropolitan Los Angeles* (1993) 17 Cal.App.4th 158, 163. Plaintiff does not state that he was prevented from reading the agreement nor that he requested additional time which was denied to him. No specific misrepresentations were made by any of Defendant’s agents. Being presented multiple documents at one time and feeling some pressure are hallmarks of a form of an adhesion contract, but, as mentioned above do not, in and of itself, demonstrate procedural unconscionability. Plaintiff has not established that the agreement is procedurally unconscionable.

As noted above, both procedural and substantive unconscionability must exist for the Court to exercise its discretion to refuse to enforce the arbitration provision. Plaintiff again points to the recent decision of *Fuentes v. Empire Nissan, Inc.* (2026) 19 Cal.5th 93. There, the employee was presented with numerous agreements to sign. Containing within them was a confidentiality agreement and an arbitration agreement. The confidentiality agreement did not include terms referencing arbitration whereas, of course, the arbitration agreement did contain those terms.

The California Supreme Court held that under those circumstances there was a lack of mutuality wherein the employer could sue in court, but the employee was mandated to arbitration. However, here, in the instant action, Plaintiff has failed to demonstrate that the employment agreement modifies or limits the arbitration agreement. Instead, Plaintiff simply points to the attorneys’ fees clause’s language and the reference to “suit.” (Decl., Raffi Tapanian, Ex. 2, para. 6). First, an attorneys’ fees clause such as this is always interpreted to be mutual even without specific language contained therein. “The statute requires any prevailing party attorney fee provision be treated as mutual, regardless of its wording, to avoid the perceived unfairness of one-sided attorney fee provisions.” *Riverside Mining Limited v. Quality Aggregates* (2024) 104 Cal.App.5th 269, 275 (internal quotation omitted).

Also, merely because a “suit” is mentioned does not mean that the employer can bring a court action, but the employee cannot. The arbitration clause states otherwise. The language in the employment agreement does not establish that the arbitration clause lacks mutuality.

In addition, simply failing to provide the AAA rules does not show substantive unconscionability. An arbitration clause which incorporates the AAA rules including its discovery rules has been found not to be substantively unconscionable even when those rules were not attached to the agreement. *Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 689-93

Therefore, Defendant's Motion to Compel Arbitration is granted. Pursuant to CCP § 1281.4, the Court enters a stay of the instant action pending completion of arbitration with respect to whether Plaintiff is an aggrieved employee under PAGA.

The Court sets an OSC re: status of arbitration for _____.

Defendant is ordered to give notice of this ruling.